

Meesho

Value Focussed - Discovery Driven Platform

04 January 2026



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Meesho

Consumer

Value Commerce Powered Through Digital Ecosystem

Meesho is India's leading value-commerce marketplace, operating an asset-light, technology-driven platform that seamlessly connects consumers, sellers and logistics partners. The company has built a differentiated ecosystem centred on affordability, discovery-led shopping and artificial intelligence, enabling efficient product discovery, fulfilment and post-sales support without owning inventory. By leveraging proprietary technology, data analytics and an integrated logistics network, Meesho continues to strengthen marketplace liquidity, deepen stakeholder engagement and reinforce scalable network effects, positioning itself as one of India's fastest-growing digital commerce platforms.

Expanding Marketplace Strengthens User-Seller Network Effects

Meesho has built a large and rapidly expanding marketplace, serving 23.4 crore annual transacting users through a network of 7.06 lakh annual transacting sellers. The growing consumer base continues to attract new merchants, expanding product assortment and strengthening affordability, while the broader seller ecosystem enhances customer choice and marketplace liquidity. This self-reinforcing network effect remains a key driver of Meesho's long-term competitive advantage.

Marketplace Scale Drives Monetization Growth

Meesho has built a rapidly scaling marketplace with GMV of ₹503 bn, NMV of ₹300 bn and marketplace revenue of ₹94 bn in FY25. Disciplined return management, improving fulfilment efficiency and balanced marketplace monetization have translated into ₹20 bn of contribution, despite operating in lower-ticket product categories. The platform's ability to expand transaction value while maintaining healthy unit economics demonstrates the scalability of its marketplace model and reinforces its long-term monetization potential.

Financial Summary

INR Crs.	FY23(A)	FY24(A)	FY25(A)	FY26(E)	FY27(E)	FY28(E)	FY29(E)	FY30(E)
Revenue	5,733	7,613	9,385	11,722	16,023	22,019	26,442	32,202
Contribution	918	1,685	2,033	2,539	3,226	4,217	4,630	5,709
Contribution %	16%	22%	22%	22%	20%	19%	18%	18%
EBITDA	-1,803	-497	-583	-464	-251	153	165	802
Adjusted PAT	-1,834	-561	-3,110	-518	-304	100	112	749
EV/ Revenue (x)	13.97	10.53	8.54	6.84	5.00	3.64	3.03	2.49
EV/ EBITDA (x)	N/A	N/A	N/A	N/A	N/A	523.51	484.82	99.97
ROE	-74%	-25%	-215%	-10%	-6%	2%	2%	15%
ROCE	-74%	-24%	-41%	-10%	-6%	2%	2%	15%

Valmo Improves Marketplace Unit Economics

Meesho's unit economics have improved meaningfully despite its value-commerce positioning. Average Order Value (AOV) moderated from ₹337 to ₹274 between FY23 and FY25, reflecting deeper penetration into affordable product categories. Simultaneously, logistics cost per order declined from ₹56 to ₹46 during the same period, driven by the rapid scale-up of Valmo. The resulting logistics efficiencies largely offset lower order values, enabling contribution per order to remain resilient at ₹18 in FY25, compared with ₹16 in FY23, highlighting disciplined marketplace monetization and execution.

Scalable Model Supports Sustainable Profitability

Meesho's future marketplace economics are expected to be shaped by a deliberate balance between affordability, monetization and fulfilment efficiency. As the platform deepens penetration across value-conscious consumers, Average Order Value (AOV) is projected to moderate from ₹274 to ₹245 between FY25 and FY30E, with Seller Order Realization following a similar trajectory. Meanwhile, consolidated logistics cost per order is expected to increase modestly from ₹46 to ₹49 during the same period, reflecting inflation and continued reliance on third-party logistics infrastructure despite rising Valmo penetration. To offset these headwinds, take rate is projected to increase from 31% to 37% between FY25 and FY30E, through higher seller monetization. Consequently, contribution per order is expected to remain broadly stable at around ₹15, reflecting management's disciplined balance between marketplace growth, seller competitiveness and logistics costs.

Although contribution margins are expected to remain broadly stable, declining platform operating costs through scale-led operating leverage are expected to drive EBITDA from (6%) to 2% between FY25 and FY30E, supporting sustainable profitability.

Valuation

Meesho is valued using the Price-to-Contribution (P/C) multiple, as contribution best captures the economic value created by the marketplace. Contribution, defined as marketplace revenue net of logistics costs, directly measures management's ability to balance monetization against fulfilment efficiency. At the current market price of ₹180, Meesho trades at 40.62x FY25 contribution, compared with the derived target multiple of 21.5x FY28 contribution, resulting in a target price of ₹198, implying an upside of 10%.

Key Risks

Key downside risks: 1) Increasing competition may moderate marketplace growth, 2) Slower internet adoption may delay user growth and profitability improvement, 3) Logistics dependence may weaken unit economics and marketplace profitability, 4) Higher take rates may weaken seller retention and product assortment growth, 5) Incremental AI spending may pressure margins and delay EBITDA profitability.

Table of Contents

Investment Rationale	4
Expanding user base fuels sustained order growth.....	4
Platform scale enhances realization and profitability drivers	6
Growing seller ecosystem strengthens marketplace network effects.....	8
Valmo strengthens logistics efficiency despite lower order values	10
Scale-led growth moderates per-order unit economics.....	12
Roadmap towards profitable and sustainable marketplace scaling.....	14
Financial Analysis.....	17
View, Valuation and Risks.....	20
View.....	20
Valuation	21
Valuation Rationale	21
Risks	21
About Meesho.....	23
About Promoters.....	24
Financial Summary.....	25

Investment Rationale

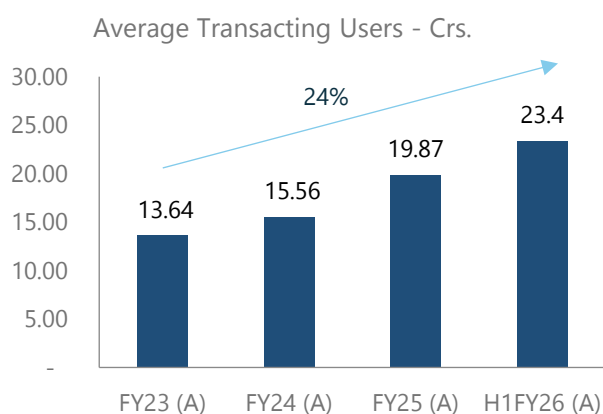
Expanding user base fuels sustained order growth

Meesho has established itself as the leading value-commerce platform in India by addressing the underserved mass-market consumer segment, particularly beyond the top eight cities. The platform's user base is predominantly value-conscious, with over half comprising women, reflecting its strong penetration across price-sensitive households. Meesho's structurally low-cost marketplace enables sellers to offer products at highly competitive prices, making affordability a key demand driver. Equally important is its differentiated product assortment, comprising regional brands, unbranded products and long-tail categories that remain underrepresented across traditional e-commerce platforms. Beyond pricing, the platform has simplified the shopping experience through AI-driven product recommendations, multilingual voice, text and image search capabilities, and content-led commerce that enhances product discovery and purchase confidence. These capabilities position Meesho to capture incremental online consumption from India's next wave of e-commerce users, while strengthening consumer engagement through a seamless, localized and discovery-driven shopping experience.

Meesho's Annual Transacting Users (ATUs) expanded at a 24% CAGR over FY23–H1FY26 (Exhibit 1), significantly outpacing overall e-commerce shopper growth. Rising internet penetration, increasing smartphone adoption and deeper digital acceptance across Tier II+ markets continue to expand the addressable user base, positioning Meesho as a key beneficiary of India's next wave of online retail adoption.

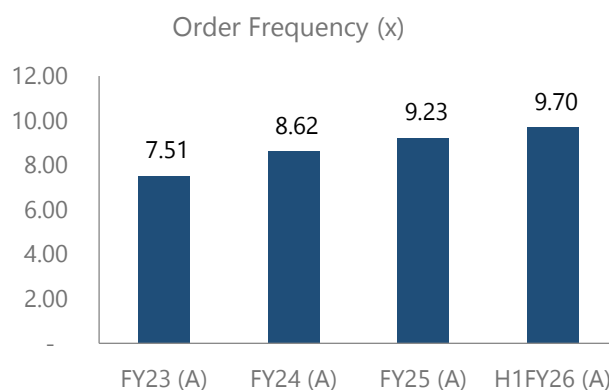
Order frequency increased from 7.5x to 9.7x (Exhibit 2), indicating improving consumer engagement beyond initial user acquisition. A combination of affordable pricing, wider product assortment, AI-driven discovery and content-led commerce is encouraging repeat purchases, while the increasing integration of e-commerce into everyday consumption habits supports sustained growth in user wallet share over time.

Exhibit 1: Growing user base drives penetration



Source: Meesho, Internal Research

Exhibit 2: Steady growth in order frequency



Source: Meesho, Internal Research

Exhibit 3: User adoption driving order growth

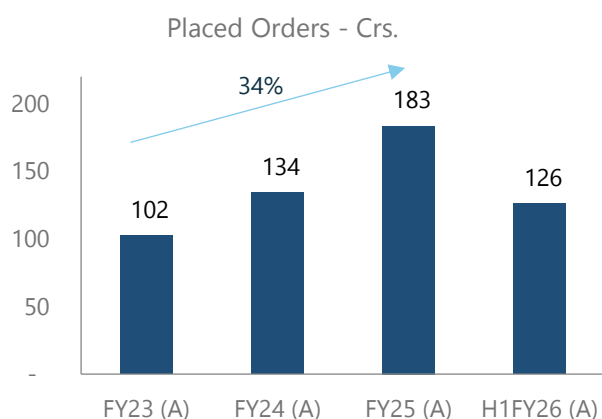


Exhibit 4: Returns well managed amid growth

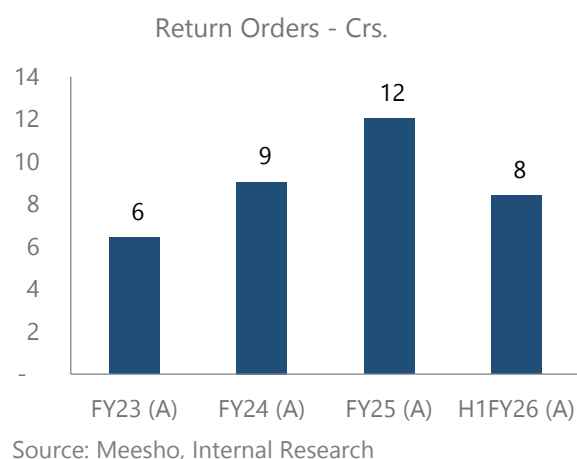


Exhibit 5: Higher conversions drive successful orders

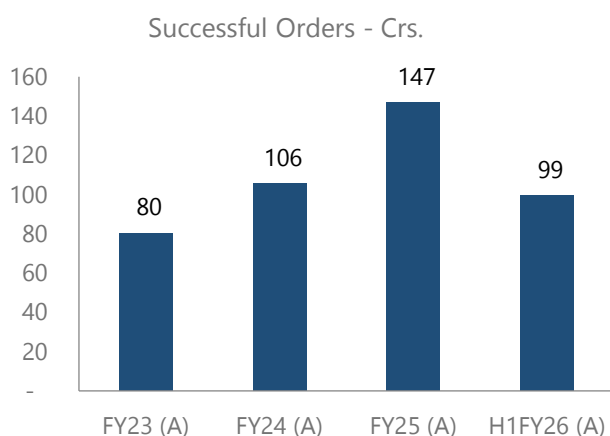
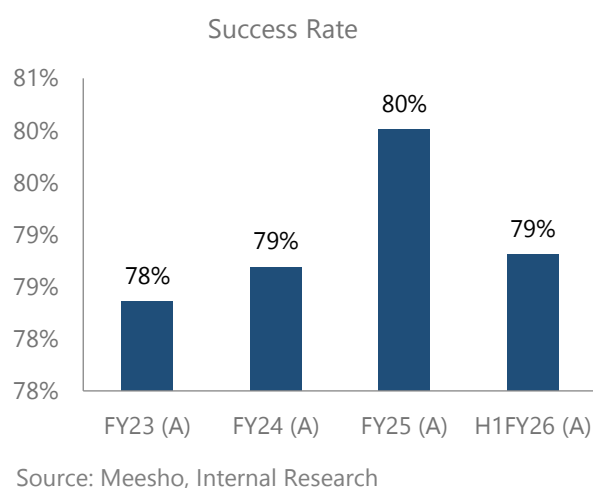
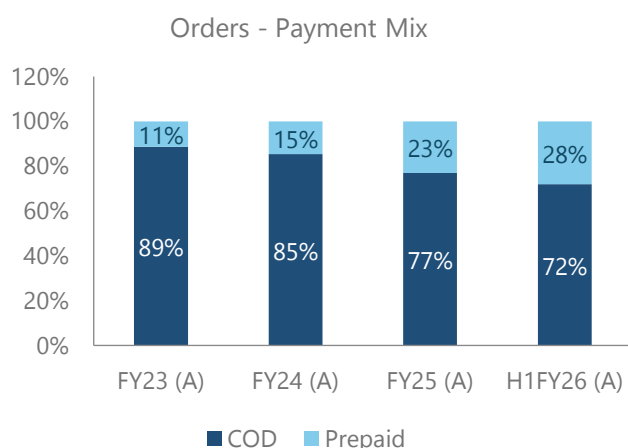


Exhibit 6: Marketplace model sustains success rate



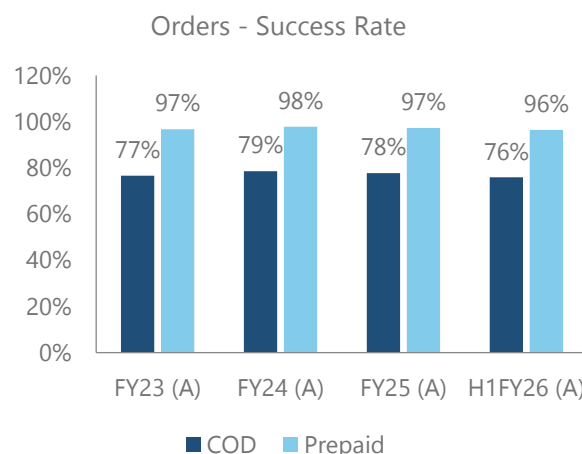
The sharp increase in Annual Transacting Users (ATUs), complemented by a steady rise in order frequency, has driven a 34% CAGR in placed orders over FY23–H1FY26 (Exhibit 3), underscoring Meesho's ability to convert user acquisition into higher transaction intensity. This trend reflects the platform's growing relevance among value-conscious consumers, supported by improving internet penetration, increasing digital adoption and stronger engagement across Tier II and Tier III markets. Importantly, the rapid expansion in order volumes has not been accompanied by a disproportionate increase in return orders, indicating that operational scale has been achieved without compromising execution quality. Successful orders have consequently grown in tandem, while the marketplace has consistently maintained a success rate of around 78–80% (Exhibit 6) throughout the period. The stable execution metrics suggest that Meesho's marketplace architecture, seller ecosystem and fulfilment capabilities have scaled efficiently, allowing the platform to handle higher transaction volumes while preserving customer experience and limiting unsuccessful order outcomes.

Exhibit 7: Strategic focus boosts prepaid adoption



Source: Meesho, Internal Research

Exhibit 8: Prepaid economics support strategic shift



Source: Meesho, Internal Research

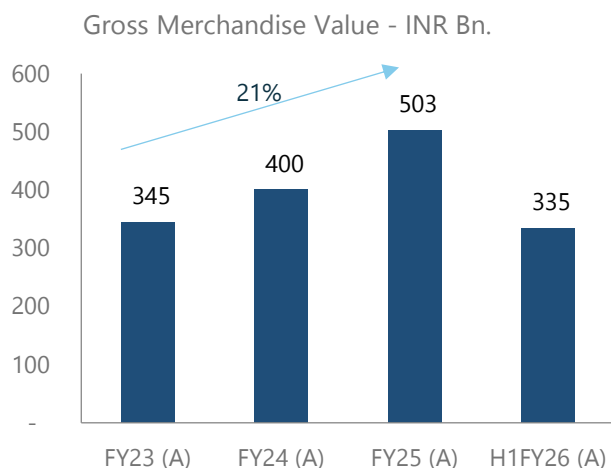
Meesho has strategically shifted users towards prepaid transactions by imposing higher charges on Cash-on-Delivery (COD) orders, thereby improving payment economics and reducing operational inefficiencies. Consequently, the prepaid mix has increased from 11% in FY23 to 28% in H1FY26 (Exhibit 7). The strategy appears effective, as prepaid orders consistently deliver materially higher success rates (96–98%) compared with COD orders (76–79%) (Exhibit 8), resulting in lower order failures, improved fulfilment efficiency and a structurally superior transaction mix.

Platform scale enhances realization and profitability drivers

Despite strong growth in Annual Transacting Users (ATUs) and order frequency, Meesho's GMV expanded at a relatively moderate 21% CAGR over FY23–H1FY26 (Exhibit 9). The divergence is primarily attributable to the platform's value-commerce positioning, which targets price-sensitive consumers through affordable products rather than higher ticket sizes. This strategy has enabled Meesho to deepen market penetration and drive transaction volumes while maintaining a structurally lower average order value. However, operational execution has translated into superior realization, with NMV growing at a faster 25% CAGR (Exhibit 10) during the same period. Lower discount intensity, improving return management and higher order fulfilment have enabled a greater proportion of gross merchandise value to convert into net merchandise value. Marketplace revenue further outpaced NMV, registering a 28% CAGR (Exhibit 11), reflecting stronger monetization driven by transaction scale, higher revenue realization per order and a richer mix of platform services.

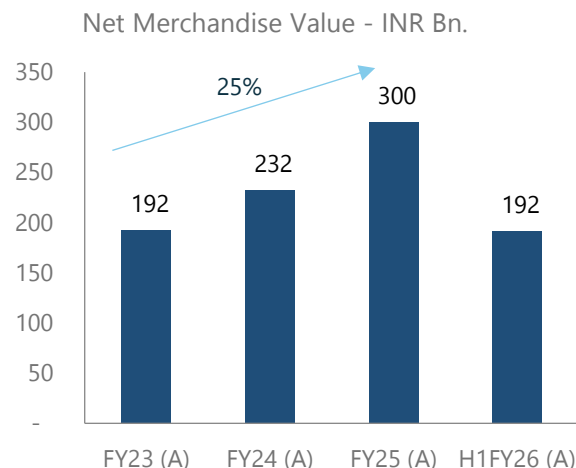
While the take rate moderated from its FY24 peak to ~29% in H1FY26 (Exhibit 12), the normalization appears strategic rather than structural. A balanced monetization approach, coupled with continued platform scaling, allows Meesho to strengthen seller economics without compromising revenue growth. The combination of improving realization, resilient monetization and operating scale reinforces the sustainability of the platform's marketplace economics and provides a strong foundation for long-term profitability.

Exhibit 9: Value focus moderates GMV growth



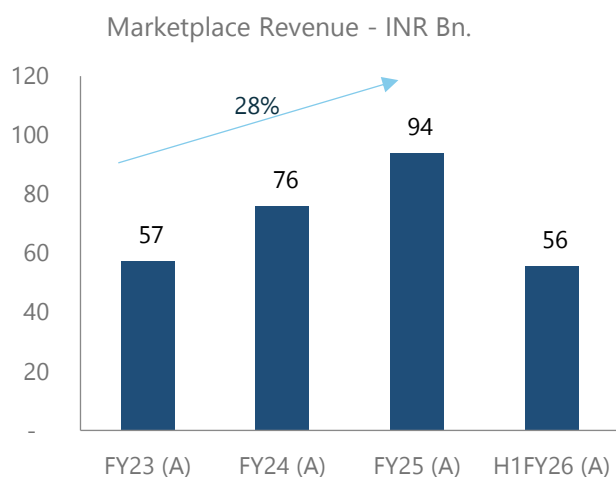
Source: Meesho, Internal Research

Exhibit 10: Improved monetization boosts NMV growth



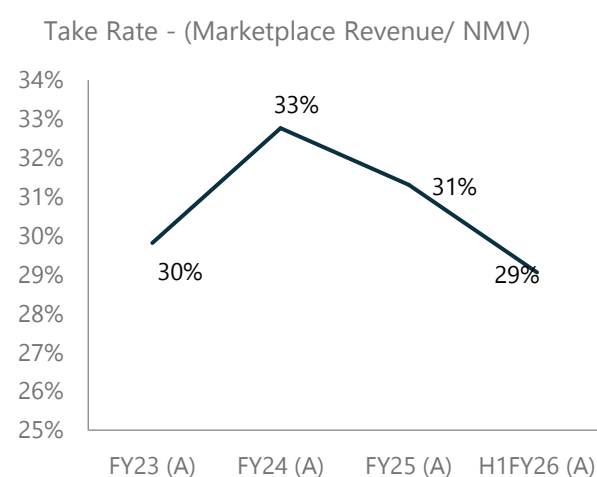
Source: Meesho, Internal Research

Exhibit 11: Growing scale improves revenue generation



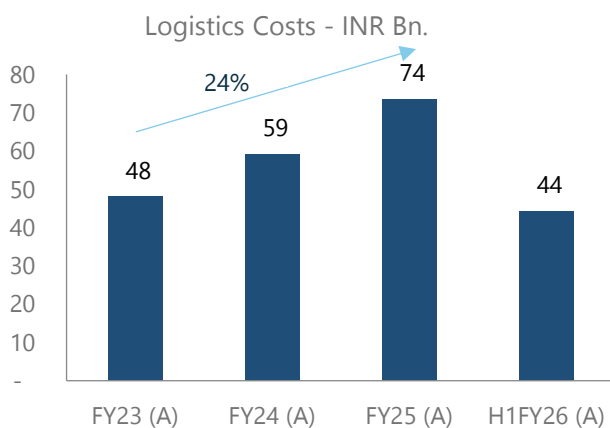
Source: Meesho, Internal Research

Exhibit 12: Take rate normalizes with scale



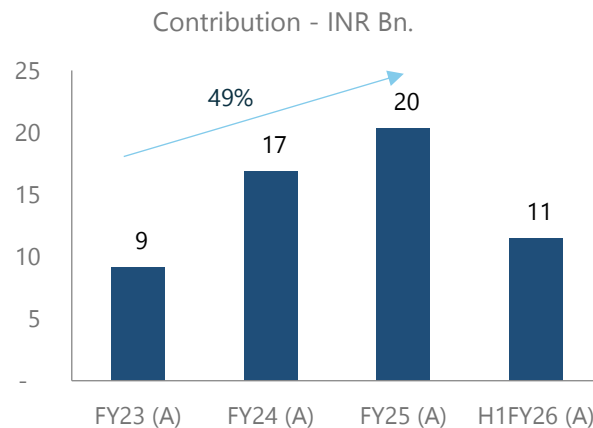
Source: Meesho, Internal Research

Exhibit 13: Scale improves logistics efficiency



Source: Meesho, Internal Research

Exhibit 14: Revenue outpaces logistics cost growth



Source: Meesho, Internal Research

Logistics costs increased at a slower 24% CAGR (Exhibit 13) than marketplace revenue, reflecting the benefits of operating scale and the increasing contribution of Meesho's in-house logistics network. Higher shipment density, improved network utilization and greater operational efficiencies have enabled the platform to contain fulfilment costs despite rapid growth in transaction volumes. Consequently, contribution expanded at a robust 49% CAGR (Exhibit 14), significantly outpacing revenue growth, highlighting the platform's strengthening unit economics and the scalability of its marketplace operating model.

Contribution represents marketplace revenue less logistics costs, reflecting the platform's core transaction-level

Growing seller ecosystem strengthens marketplace network effects

Meesho's seller ecosystem represents a structural competitive advantage, enabling the platform to consistently expand supply while reinforcing its low-price positioning. The marketplace primarily caters to manufacturers, wholesalers and traders, who benefit from direct access to over 234 million annual transacting users without the traditional cost burden associated with online commerce. The platform's zero-commission model, low-cost fulfilment infrastructure and inventory-light marketplace reduce sellers' cost of doing business by 35–61% versus other e-commerce platforms, making even low-ticket products economically viable online. Unlike inventory-led peers, Meesho does not operate private labels, preserving neutrality and allowing sellers to compete solely on price, assortment and quality. Continuous investments in AI-enabled catalogue creation, simplified onboarding, advertising optimisation, content commerce and real-time seller analytics have materially lowered the barriers to digital commerce, particularly for MSMEs. This is reflected in improving seller productivity, with NMV per seller increasing steadily while the average time to first order has halved over the last three years, indicating strengthening marketplace liquidity and network effects.

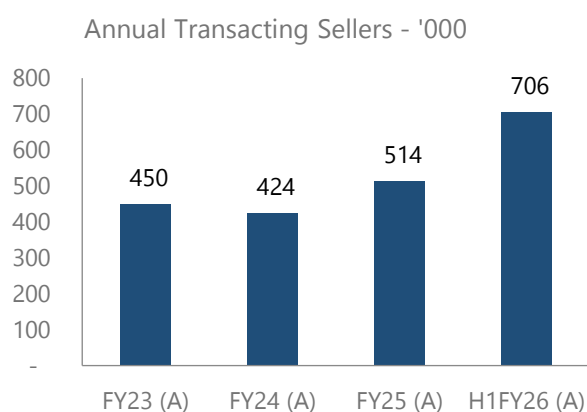
The rapid expansion in annual transacting sellers reflects Meesho's success in democratizing e-commerce participation for small businesses. A simplified onboarding process, zero-commission marketplace model and low-cost fulfilment infrastructure have significantly lowered entry barriers for manufacturers, wholesalers and traders. As an increasing number of sellers achieve meaningful business outcomes on the platform, positive word-of-mouth has further accelerated seller acquisition, reinforcing marketplace liquidity and expanding product assortment across India's value-commerce ecosystem.

Unlike conventional e-commerce platforms, where sales are concentrated among a relatively small group of large merchants, Meesho's marketplace is built around a highly fragmented base of manufacturers, wholesalers and traders serving India's value-commerce segment. The platform's low entry barriers and nationwide reach continue to attract new sellers, significantly expanding product assortment and consumer choice. As the seller ecosystem broadens, transaction volumes are distributed across a larger merchant base, naturally moderating average orders per seller (Exhibit 16). While seller productivity remains healthy, the moderation reflects ecosystem expansion rather than weakening demand, reinforcing Meesho's strategy of building a broad, competitive and scalable marketplace.

Average NMV per seller improved consistently between FY23 and FY25 as sellers benefited from increasing customer traffic, higher order volumes and improving marketplace liquidity (Exhibit 17). However, the moderation in H1FY26 is largely attributable to the rapid expansion of Meesho's seller ecosystem, with a significant influx of new and smaller merchants joining the platform.

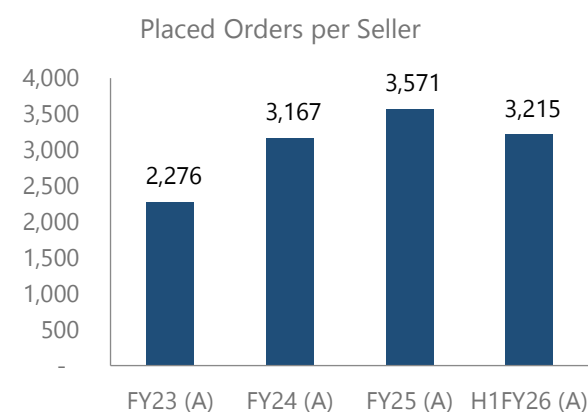
Meesho consistently passes through ~70% of the consumer realization to sellers (Exhibit 18), with the remaining share compensating the platform for fulfilment, technology and marketplace services. While this may initially appear less attractive than an offline sale, the economics are more favourable when viewed on a fully loaded basis. Sellers benefit from significantly higher inventory turnover, reducing inventory holding costs and improving working capital efficiency. Higher order volumes also enhance capacity utilization, enabling manufacturers to spread fixed overheads across a larger production base. Furthermore, a majority of Meesho's merchants comprise manufacturers and producers operating with relatively healthy gross margins, allowing them to absorb the platform's revenue share while expanding their addressable market. Consequently, the stable ~70% seller realization has remained sufficient to attract and retain a growing merchant base, highlighting the strength and sustainability of Meesho's marketplace economics.

Exhibit 15: Marketplace gains seller acceptance



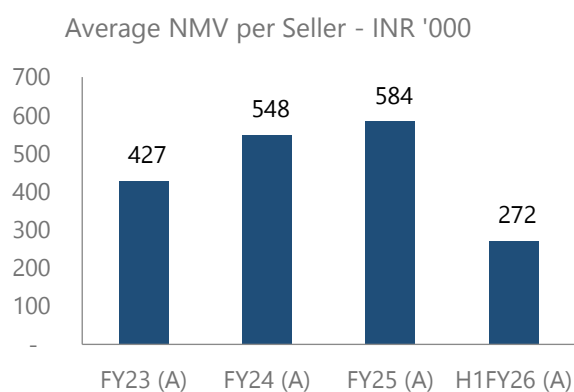
Source: Meesho, Internal Research

Exhibit 16: Expanding seller base improves customer choice



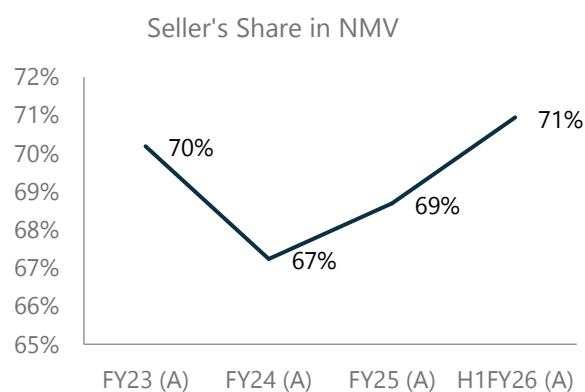
Source: Meesho, Internal Research

Exhibit 17: Broader seller base moderates realization



Source: Meesho, Internal Research

Exhibit 18: Strong seller incentives drive participation



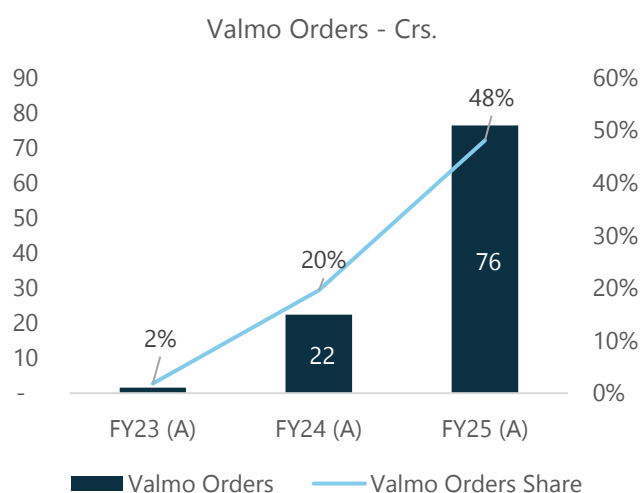
Source: Meesho, Internal Research

Valmo strengthens logistics efficiency despite lower order values

Meesho fulfils orders through either Valmo, its proprietary technology platform that orchestrates a multi-stage network of logistics providers, or through end-to-end third-party logistics partners. By aggregating first-mile, sorting, trucking and last-mile partners onto a unified platform, Valmo enhances asset utilisation, expands participation of smaller logistics providers and enables scalable, technology-driven order fulfilment across India.

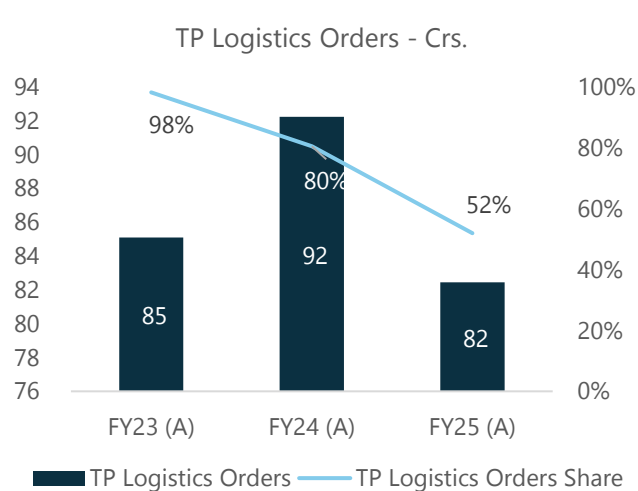
Valmo has rapidly emerged as Meesho's preferred logistics network, with its order share increasing from 2% in FY23 to 48% in FY25. Over the same period, third-party logistics share declined from 98% to 52%. The rapid migration towards Valmo reflects management's strategic focus on building an integrated logistics ecosystem, providing greater control over service quality, delivery economics and network scalability while reducing dependence on external logistics partners.

Exhibit 19: Valmo gains increasing delivery share



Source: Meesho, Internal Research

Exhibit 20: Valmo replaces external logistics partners



Source: Meesho, Internal

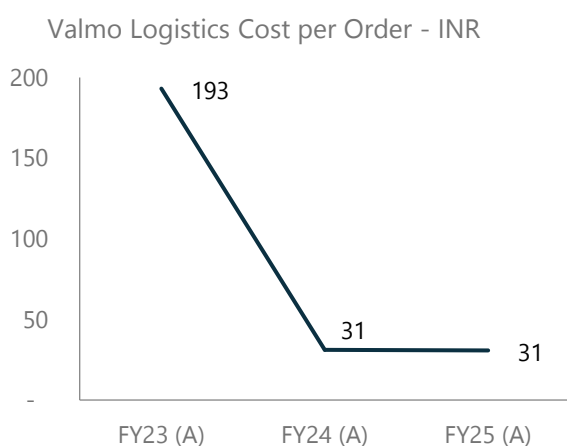
Valmo's logistics cost per order declined sharply from ₹193 in FY23 to ₹31 by FY24 and remained stable through FY25 (Exhibit 21), indicating that the network has achieved operational scale. Rather than operating as a conventional logistics company, Valmo functions as a technology-led logistics orchestrator, selectively undertaking first- and last-mile deliveries while leveraging third-party gateways and transport partners where economically optimal. This asset-light model enables Meesho to maintain a structurally lower fulfilment cost base.

Third-party logistics cost per order increased steadily from ₹53 in FY23 to ₹61 in FY25 (Exhibit 22), reflecting industry-wide cost inflation. Rising fuel prices, wage inflation, network expansion costs and periodic geopolitical disruptions have increased operating expenses across logistics providers. The persistent upward trend reinforces the economic rationale behind Meesho's strategic investment in Valmo, reducing reliance on external partners while improving cost visibility and operational flexibility over the long term.

The rapid increase in Valmo's delivery share has translated into a meaningful reduction in Meesho's consolidated logistics cost per order, which declined from ₹56 in FY23 to ₹46 in FY25 (Exhibit 23). Lower fulfilment costs from Valmo have more than offset the inflationary pressures experienced by third-party logistics providers, demonstrating that Meesho's integrated logistics strategy is improving marketplace unit economics while supporting higher transaction volumes and long-term operating leverage.

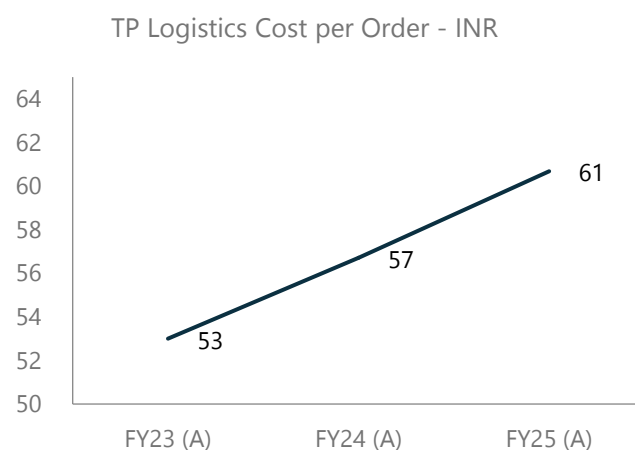
Despite meaningful improvements in logistics cost per order, logistics expenses have remained broadly stable at around 78% of marketplace revenue since FY24 (Exhibit 24). This is primarily attributable to Meesho's declining average order value, as the platform continues to deepen penetration among value-conscious consumers purchasing lower-ticket products. Consequently, lower fulfilment costs per order have largely offset the impact of reduced revenue per shipment, allowing logistics costs as a percentage of revenue to remain well contained.

Exhibit 21: Valmo reaches cost-efficient scale



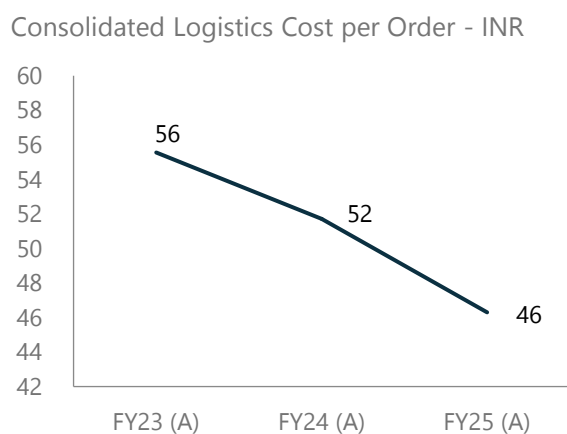
Source: Meesho, Internal Research

Exhibit 22: External logistics costs steadily increase



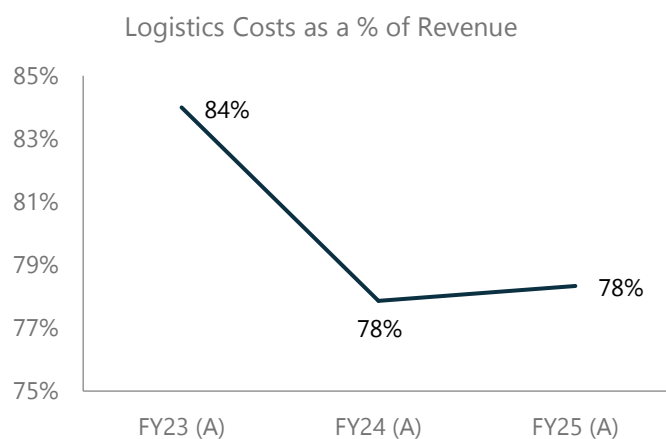
Source: Meesho, Internal Research

Exhibit 23: Valmo improves consolidated cost efficiency



Source: Meesho, Internal Research

Exhibit 24: Stable fulfilment costs despite scaling



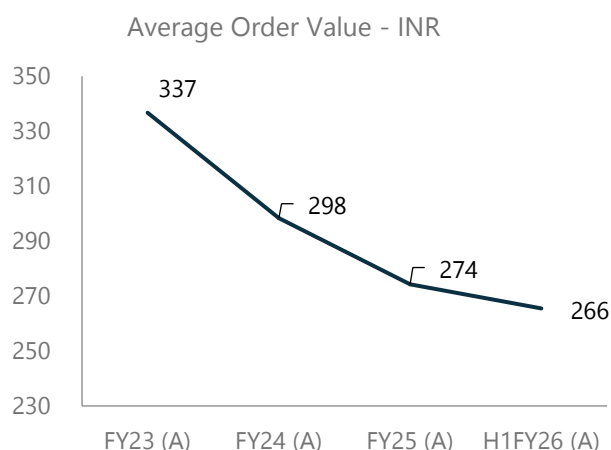
Source: Meesho, Internal Research

Scale-led growth moderates per-order unit economics

Average Order Value (AOV) declined by ~19% between FY23 and FY25 (Exhibit 25), driven by Meesho's strategic focus on affordable products and value-conscious consumers. The moderation in AOV reflects Meesho's deliberate positioning as India's leading value-commerce marketplace rather than any deterioration in consumer demand. The platform has increasingly penetrated Tier II, III and IV cities, where rising smartphone adoption, improving internet penetration and expanding digital payment infrastructure have accelerated online shopping adoption among value-conscious consumers. Unlike premium marketplaces that prioritize higher basket values, Meesho has built its proposition around affordability, enabling consumers to access low-ticket products across fashion, home, personal care, kitchenware and everyday essentials. Its discovery-led shopping experience encourages frequent purchases of impulse-driven and utility-oriented products at accessible price points. Simultaneously, continuous onboarding of manufacturers, wholesalers and small businesses has expanded product assortment, intensifying price competition and improving affordability for end consumers. The wider supply base, coupled with increasing category additions, has further diversified the platform's merchandise mix towards lower-priced products that cater to mass-market demand. As a result, while customer acquisition, transaction frequency and order volumes have continued to scale, the average value of each transaction has structurally moderated. The decline in AOV should be interpreted as evidence of Meesho's deepening penetration into India's underserved value-commerce segment and the successful execution of its strategy to expand the addressable consumer base rather than maximize ticket sizes.

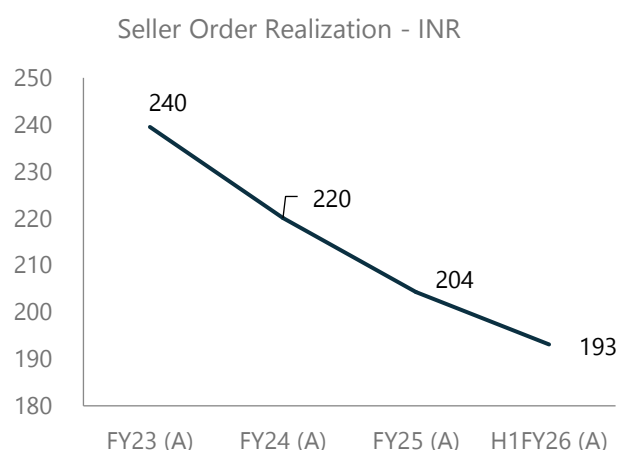
Seller Order Realization (SoR), representing the net amount realized by sellers after accounting for returns and discounts, has broadly tracked the decline in Average Order Value (Exhibit 26). The moderation reflects Meesho's increasing focus on value-priced products rather than any deterioration in seller economics. With return rates remaining well managed and product assortment expanding across affordable categories, sellers continue to benefit from higher transaction volumes despite lower realization per order, reinforcing the platform's scalable value-commerce model.

Exhibit 25: Value commerce moderates AoV



Source: Meesho, Internal Research

Exhibit 26: Lower order values reduce realization



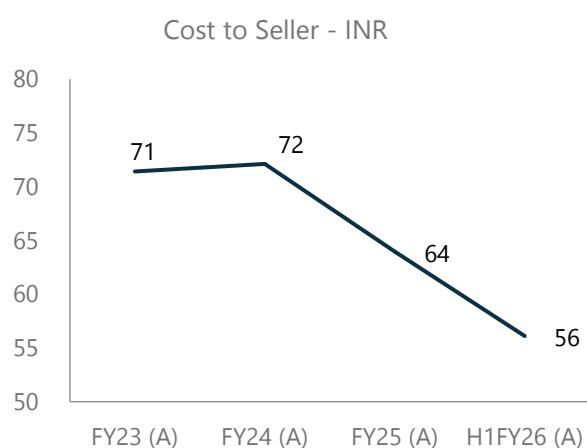
Source: Meesho, Internal Research

Meesho has progressively reduced the cost charged to sellers from ₹71 per order in FY23 to ₹56 in H1FY26 (Exhibit 27), despite significant growth in marketplace volumes. By passing operational efficiencies back to merchants, the platform has preserved attractive seller economics, strengthened merchant retention and lowered barriers for onboarding new sellers.

Logistics cost per order declined from ₹56 in FY23 to ₹41 in H1FY26 (Exhibit 28), driven by rising Valmo penetration. The reduction has largely offset the impact of lower per-order realization resulting from Meesho's value-commerce strategy, enabling the platform to preserve healthy unit economics while continuing to scale transaction volumes.

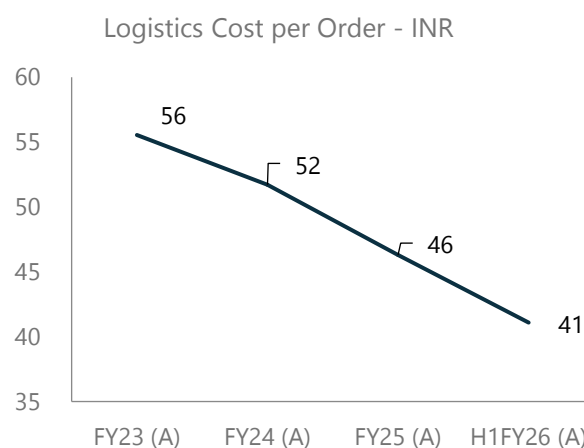
Meesho's revenue share has remained broadly stable at 29–33% despite rapid marketplace expansion (Exhibit 29), reflecting balanced monetization. However, the platform has consciously shared operating efficiencies with sellers through lower platform charges and logistics costs, resulting in contribution per order moderating from ₹20 in FY24 to ₹15 in H1FY26 (Exhibit 30) as scale was prioritized over per-order profitability.

Exhibit 27: Lower seller charges support margins



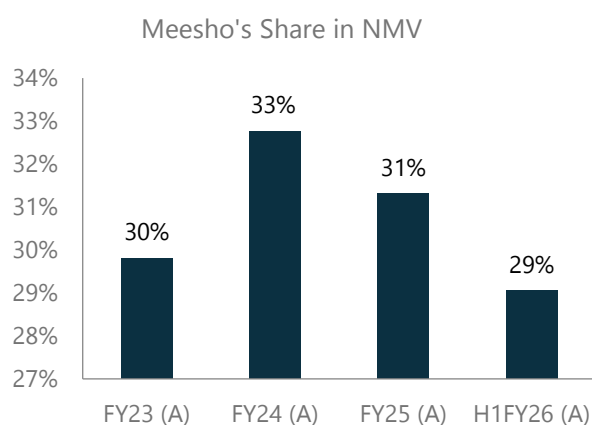
Source: Meesho, Internal Research

Exhibit 28: Valmo improves logistics cost efficiency



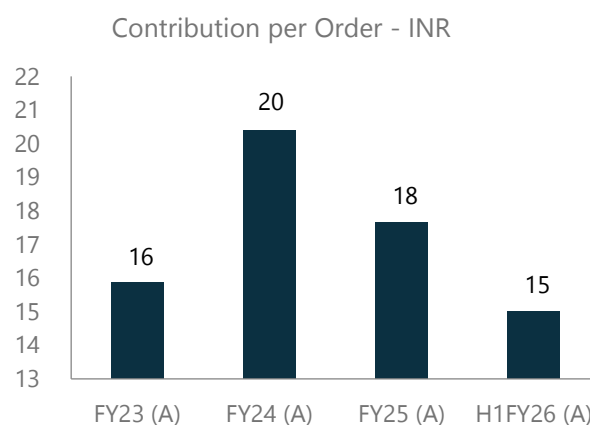
Source: Meesho, Internal Research

Exhibit 29: Balanced margins attract more sellers



Source: Meesho, Internal Research

Exhibit 30: Volume offsets lower unit monetization



Source: Meesho, Internal Research

Roadmap towards profitable and sustainable marketplace scaling

Exhibit 31: Two-phase business evolution framework

Aspects	UoM	Historical			Phase - 1			Phase - 2		CAGR	
		FY23(A)	FY24(A)	FY25(A)	FY26(E)	FY27(E)	FY28(E)	FY29(E)	FY30(E)	Phase - 1	Phase - 2
Users											
ATU	Crs.	14	16	20	24	29	35	37	39	21%	5%
Order Frequency	x	7.51	8.62	9.23	10.23	11.34	12.58	13.94	15.46	11%	11%
Successful Orders	Crs.	80	106	147	200	271	368	429	501	36%	17%
Successful Rate	Crs.	78%	79%	80%	81%	83%	84%	84%	84%	-	-
Realization											
GMV	INR Bn.	345	400	503	653	856	1,123	1,281	1,461	31%	14%
NMV	INR Bn.	192	232	300	392	514	674	768	877	31%	14%
Marketplace Revenue	INR Bn.	57	76	94	117	160	220	264	322	33%	21%
Take Rate	%	30%	33%	31%	30%	31%	33%	34%	37%	-	-
Contribution	INR Bn.	9	17	20	25	32	42	46	57	28%	16%
Sellers											
ATS	'000	450	424	514	771	963	1,204	1,325	1,457	33%	10%
Average NMV per seller	'000	427	548	584	508	533	559	580	602	-	-
Seller's share in NMV	%	70%	67%	69%	70%	69%	67%	66%	63%	-	-
Logistics											
Valmo Share	%	2%	20%	48%	70%	75%	80%	82%	85%	-	-
TP - Share	%	98%	80%	52%	30%	25%	20%	18%	15%	-	-
Valmo - Cost per Order	INR	193	31	31	33	35	38	40	43	7%	7%
TP - Cost per Order	INR	53	57	61	65	69	74	80	85	7%	7%
Logistics Cost per Order	INR	56	52	46	43	44	45	47	49	-1%	5%
Unit Economics											
Average Order Value	INR	337	298	274	266	261	256	250	245	-2%	-2%
Seller Order Realization	INR	240	220	204	196	190	183	179	175	-4%	-2%
Cost to Seller	INR	71	72	64	59	59	60	62	64	-2%	4%
Contribution per order	INR	16	20	18	16	15	15	14	15	-6%	0%

Source: Meesho, Internal Research

The forward outlook is divided into two phases. Phase 1 assumes ATU growth continues broadly in line with recent reported trends until reaching approximately 35 crore users. Thereafter, Phase 2 incorporates gradual moderation as internet penetration and e-commerce adoption mature, shifting the focus from aggressive user acquisition towards monetization, operating leverage and sustainable profitability.

Annual Transacting Users (ATUs) are projected to increase from 20 crore in FY25 to 35 crore by FY28E, broadly reflecting the current pace of marketplace expansion driven by increasing internet penetration, smartphone adoption and deeper presence across Tier II, III and IV markets. Thereafter, ATU growth is expected to moderate, reaching 39 crore by FY30E, as digital commerce penetration gradually matures. Order frequency is projected to improve steadily from 9.2x to 12.6x, supported by a

discovery-led shopping experience, expanding product assortment and increasing consumer engagement. Consequently, successful orders are expected to scale from 147 crore to 501 crore over the forecast period. This growth is expected to be driven by three structural levers—expanding user base, higher purchase frequency and disciplined return management, with effective return rates remaining broadly stable at 5–6%, thereby sustaining healthy fulfilment efficiency while supporting long-term marketplace scalability.

The projected evolution of Meesho's unit economics is expected to be driven by its value-commerce positioning rather than higher per-order realization. Continued growth in Annual Transacting Users (ATUs) and Annual Transacting Sellers (ATS) is expected to stem from increasing penetration among value-conscious consumers through a discovery-led shopping experience, affordable product offerings and continuous category expansion. Consequently, Average Order Value (AOV) is projected to decline from ₹274 in FY25 to approximately ₹245 by FY30E. Seller Order Realization (SoR), being a direct function of AOV after adjusting for returns and discounts, is similarly expected to moderate from ₹204 to ₹175 over the forecast period.

Historically, Meesho reduced Cost to Seller from ₹71 in FY23 to ₹56 in H1FY26 to accelerate seller acquisition and strengthen marketplace liquidity. Going forward, this trend is expected to reverse after reaching approximately ₹59 per order, with Cost to Seller gradually increasing to around ₹64 by FY30E. This increase is expected to be driven by higher marketplace take rates and the partial pass-through of rising logistics costs. Consolidated logistics cost per order, having declined from ₹56 in FY23 to ₹41 in H1FY26, is projected to gradually increase to approximately ₹53 by FY30E as transportation inflation, gateway charges and network expansion offset further efficiency gains from Valmo.

Contribution per order is ultimately determined by the interaction between seller realization, Meesho's marketplace share and consolidated logistics costs. While increasing take rates are expected to offset the moderation in AOV and SoR, higher logistics costs are likely to absorb a significant portion of these gains. Consequently, contribution per order is expected to remain broadly stable at around ₹15, reflecting a disciplined balance between seller competitiveness, operating efficiency and long-term marketplace profitability.

Marketplace realization is expected to enter a gradual normalization phase as Annual Transacting User (ATU) growth moderates beyond 35 crore, reducing the pace of GMV and NMV expansion. However, marketplace revenue is projected to grow at a relatively faster pace than GMV and NMV, driven by a gradual increase in take rates. As discussed, Cost to Seller is expected to increase from approximately ₹59 to ₹64 per order, enabling Meesho to improve monetization despite declining Average Order Value (AOV) and Seller Order Realization (SoR). Consequently, marketplace revenue is expected to outpace underlying transaction value growth during the later years. Contribution growth is expected to be supported by this improvement in revenue realization, although rising consolidated logistics costs are likely to offset a portion of these gains. Overall, contribution expansion is expected to reflect a

balanced interplay between higher marketplace monetization and inflationary fulfilment costs rather than pure transaction volume growth.

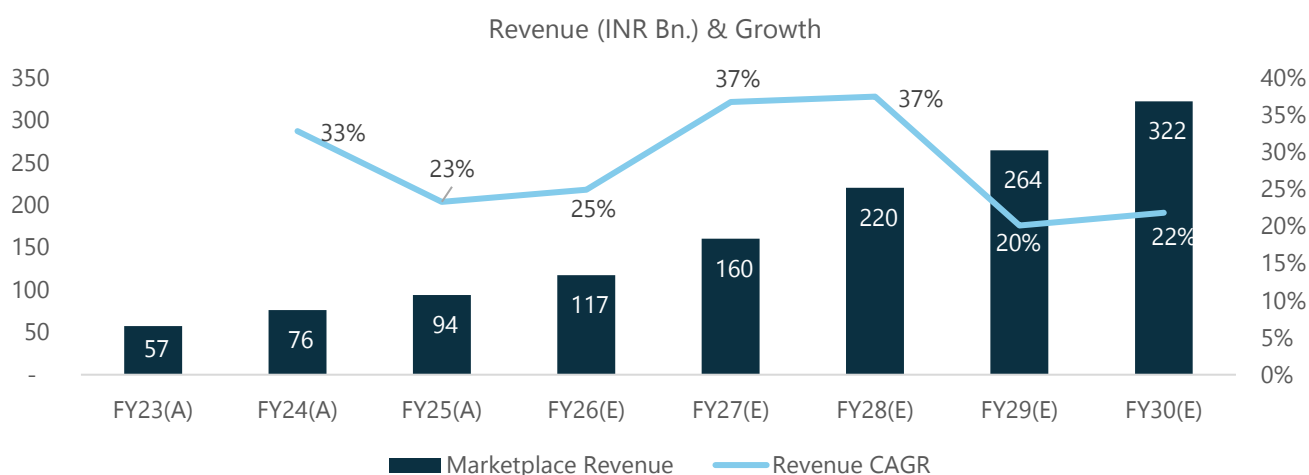
Annual Transacting Sellers (ATS) are expected to continue growing at a faster pace than Annual Transacting Users (ATUs) during Phase 1, supported by low entry barriers and increasing marketplace participation. However, seller additions are expected to moderate in the later phase as Meesho gradually increases its take rate, reducing Seller's Share from approximately 70% to 63%. While this may lead to selective seller attrition, higher inventory turnover, improved capacity utilization and nationwide customer access are expected to preserve marketplace attractiveness. Consequently, average NMV per seller is projected to remain broadly stable at around ₹6 lakh, reflecting balanced seller productivity despite a larger merchant base.

Valmo has rapidly increased its share of Meesho's delivery network during the reported period; however, further penetration is expected to moderate. Unlike integrated logistics companies such as Delhivery, Valmo primarily functions as a logistics orchestrator and therefore continues to rely on third-party gateways, line-haul operators and distribution centres for nationwide fulfilment. Consequently, third-party logistics will remain an integral part of the delivery ecosystem. Valmo's cost per order is expected to increase gradually from ₹31 due to inflation, while third-party logistics costs are also projected to rise. The combined effect is expected to increase consolidated logistics cost per order from ₹46 in FY25 to approximately ₹49 by FY30E, despite continued operational efficiencies.

Financial Analysis

Marketplace revenue is primarily driven by four variables—Annual Transacting Users (ATUs), order frequency, Average Order Value (AOV) and take rate. In the near term, continued expansion in the user base, steady improvement in purchase frequency and lower AOV are expected to stimulate transaction volumes, supporting strong revenue growth despite lower realization per order. Over the longer term, moderation in ATU additions is expected to slow GMV growth as the marketplace matures. However, a gradual increase in take rates, supported by higher seller charges and improved monetization, is expected to partly offset this moderation. Consequently, marketplace revenue is projected to increase from ₹94 bn in FY25 to ₹322 bn by FY30E (Exhibit 32), while the revenue CAGR normalizes from the current elevated levels to a more sustainable long-term trajectory.

Exhibit 32: Revenue growth to moderate with scale

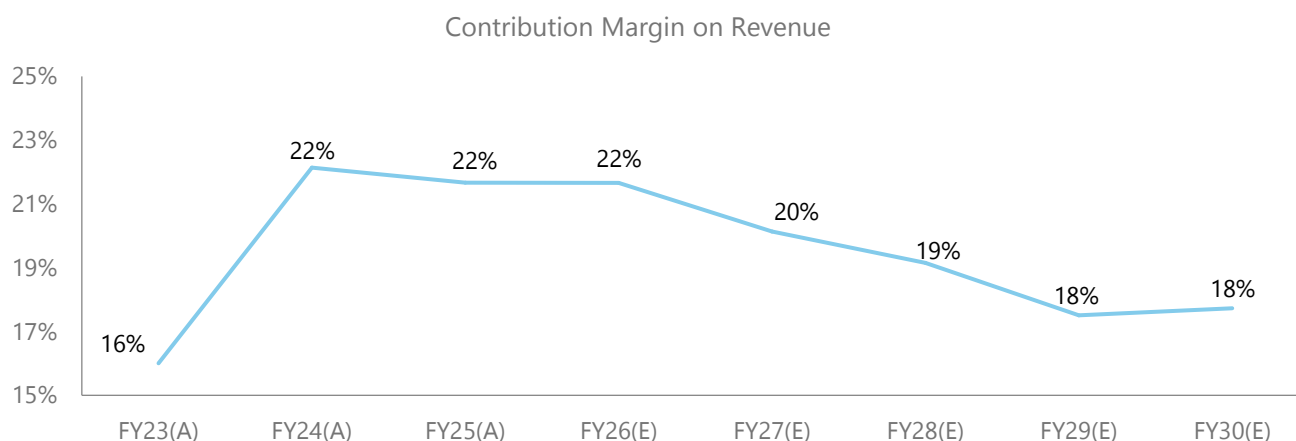


Source: Meesho, Internal Research

Contribution margin is expected to remain a function of Meesho's ability to balance marketplace monetization with fulfilment efficiency. The continued decline in Average Order Value (AOV), driven by the platform's value-commerce strategy, together with inflationary pressures on logistics costs, is expected to create headwinds for profitability. To offset these pressures, Meesho is expected to gradually increase its take rate by raising Cost to Seller and expanding monetization across marketplace services. This measured increase in platform realization is expected to largely compensate for rising fulfilment costs, enabling contribution margin to remain broadly stable at 18–20% (Exhibit 33) over the forecast period.

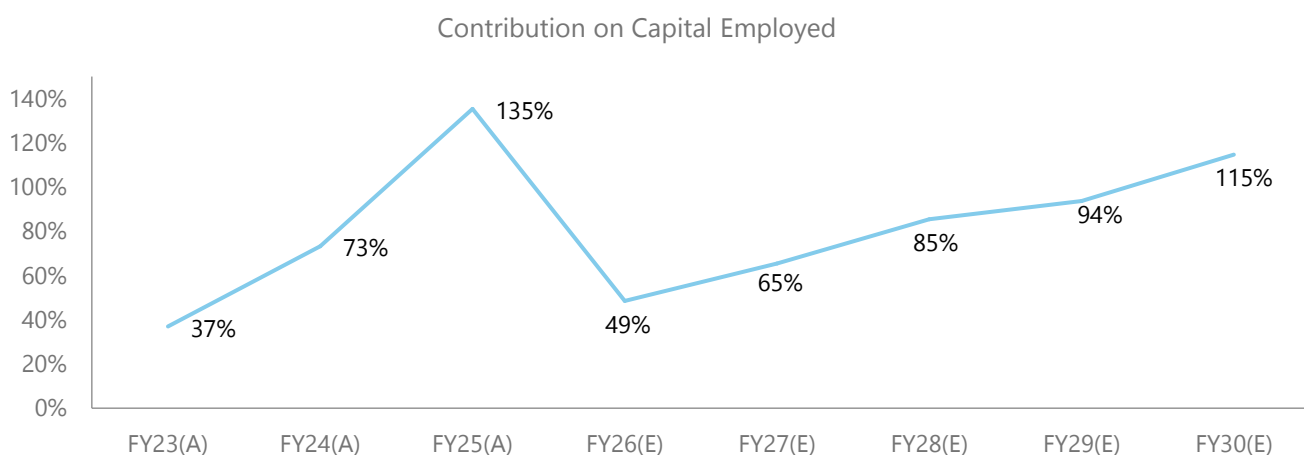
Consequently, contribution on capital employed is projected to strengthen significantly from 49% in FY26E to 115% by FY30E (Exhibit 34), reflecting the scalability of Meesho's asset-light marketplace model. The sharp moderation from 135% in FY25 to 49% in FY26E is primarily attributable to the expected increase in capital employed following the IPO and the resultant equity infusion, rather than any deterioration in operating profitability. The ability to preserve contribution margins while capital productivity improves highlights the platform's transition from a growth-led marketplace to a structurally profitable and capital-efficient business.

Exhibit 33: Higher take rates to stabilize margins



Source: Meesho, Internal Research

Exhibit 34: Asset-light model enhances capital productivity

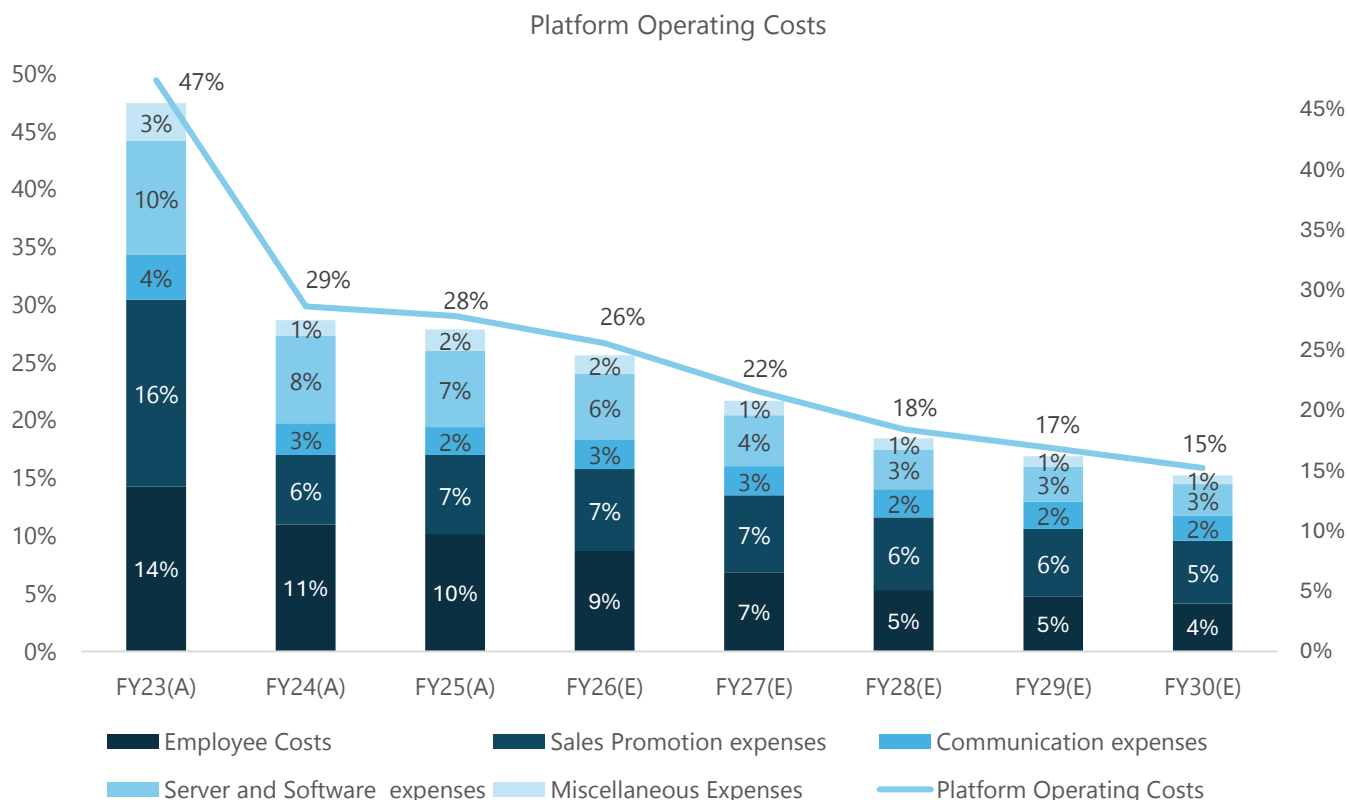


Source: Meesho, Internal Research

Platform operating costs comprise employee expenses, sales promotion, communication, server & software, and other operating overheads that support Meesho's marketplace ecosystem. Employee expenses primarily represent administrative, technology and corporate functions, with execution-level hiring expected to increase only alongside planned business expansion or strategic initiatives. Sales promotion expenses include brand-building campaigns, sponsorships, collaborations with content creators to strengthen Meesho's discovery-led shopping model, and customer engagement initiatives such as WhatsApp and SMS-based marketing. Communication expenses largely relate to customer support, order tracking and buyer coordination, while server & software expenses reflect investments in technology infrastructure, artificial intelligence, cloud services and platform maintenance, with a significant portion of these investments already incurred during the company's initial scaling phase. As revenue expands, these operating overheads are expected to demonstrate significant operating leverage, declining from 47% of revenue in FY23 to 15% by FY30E (Exhibit 35), as revenue

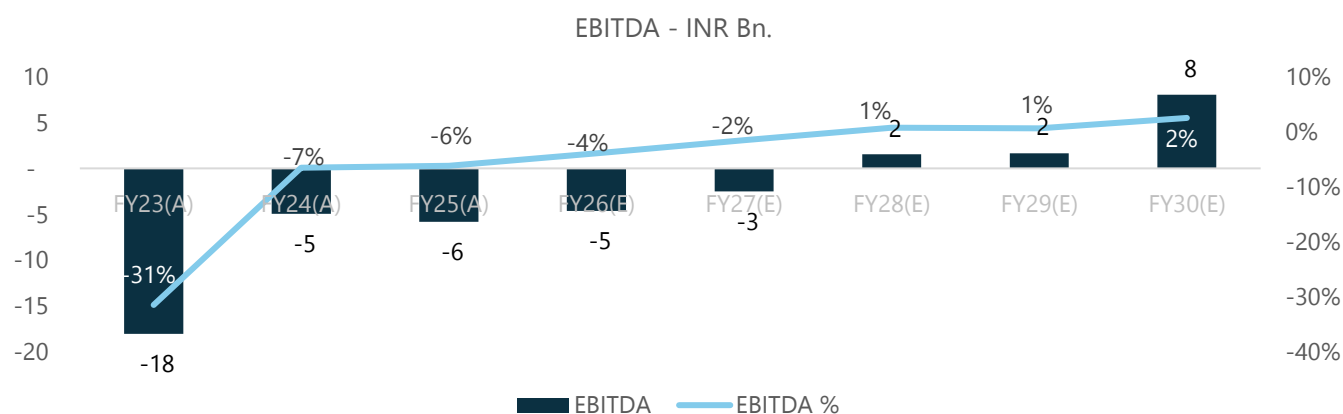
growth materially outpaces the growth in support functions. Although contribution margins are expected to normalize owing to lower Average Order Value (AOV) and inflationary logistics costs, the reduction in platform operating costs is expected to more than offset this moderation. Consequently, EBITDA margin is projected to improve from (6%) in FY25 to 2% by FY30E (Exhibit 36), indicating that Meesho's path to profitability is primarily driven by scale led operating leverage rather than expansion in contribution margins.

Exhibit 35: Operating leverage reduces platform costs



Source: Meesho, Internal Research

Exhibit 36: Operating leverage to restore EBITDA profitability



Source: Meesho, Internal Research

View, Valuation and Risks

View

Meesho is expected to remain one of the fastest-growing consumer internet platforms in India, driven by its value-commerce positioning and discovery-led shopping model. Annual Transacting Users (ATUs) are projected to increase from 20 crore in FY25 to 39 crore by FY30E, while order frequency is expected to improve from 9.2x to 15.5x, resulting in successful orders rising more than 3.4x from 147 crore to 501 crore. The growth is expected to be supported by increasing internet penetration, deeper adoption across Tier II, III and IV cities, changing lifestyle preferences, expanding product assortment and growing influence of content creators. While Average Order Value (AOV) is projected to decline from ₹274 to ₹245 as the platform penetrates lower-ticket consumption categories, higher transaction intensity is expected to more than offset the moderation in basket values, driving marketplace revenue from ₹94 bn in FY25 to ₹322 bn by FY30E.

Valmo is expected to remain the cornerstone of Meesho's fulfilment strategy, with its delivery share increasing from 48% in FY25 to 85% by FY30E. However, unlike an integrated logistics operator, Valmo is expected to continue relying on third-party gateways, line-haul operators and distribution centres, limiting further structural reductions in fulfilment costs. Consequently, consolidated logistics cost per order is projected to increase from ₹46 in FY25 to ₹49 by FY30E, while third-party logistics costs rise from ₹61 to ₹85 owing to inflationary pressures. Simultaneously, Seller Order Realization is expected to decline from ₹204 to ₹175, requiring marketplace take rates to increase from 31% to 37% through higher seller charges, with Cost to Seller rising from ₹64 to ₹64 per order after initially declining to ₹59. Although Seller's Share in NMV is projected to reduce from 69% to 63%, leading to selective seller churn, the platform's superior inventory turnover, higher capacity utilization and nationwide customer access are expected to retain a stable merchant ecosystem. Consequently, contribution per order is expected to remain broadly stable at around ₹15, while contribution margins are maintained at 18–20%, reflecting a disciplined balance between monetization and fulfilment efficiency.

The asset-light marketplace model is expected to remain Meesho's key differentiator, enabling capital productivity to improve materially as the platform scales. Contribution on capital employed is projected to recover from 49% in FY26E to 115% by FY30E, following the temporary dilution arising from the IPO-led equity infusion. While contribution margins are expected to remain broadly stable at 18–20%, EBITDA improvement is likely to be driven primarily by operating leverage rather than incremental unit monetization. Platform operating costs are projected to decline from 28% of revenue in FY25 to 15% by FY30E, as revenue growth significantly outpaces employee, technology and administrative overheads. Consequently, EBITDA margin is expected to improve from (6%) in FY25 to 2% by FY30E, reinforcing the view that Meesho's long-term profitability will be driven by scale-led operating leverage rather than contribution margin expansion alone.

Valuation

Meesho is valued using the Price-to-Contribution (P/C) multiple, as contribution best captures the economic value created by the marketplace. Revenue is considered an inappropriate valuation metric since future changes in take rates can materially alter reported revenue without proportionately affecting underlying economics. Similarly, EBITDA and PAT are not considered representative as both metrics are currently transitioning towards profitability and do not reflect normalized earnings. Contribution, defined as marketplace revenue net of logistics costs, directly measures management's ability to balance monetization against fulfilment efficiency. At the current market price of ₹180, Meesho trades at 40.62x FY25 contribution, compared with the derived target multiple of 21.5x FY28 contribution, resulting in a target price of ₹198, implying an upside of 10%.

Valuation Rationale

The target valuation is derived using a Price-to-Contribution Growth (PCG) methodology, benchmarking Meesho against listed consumer discretionary peers. The peer universe trades at an average historical PCG ratio of 0.78x, which is applied to Meesho's projected contribution growth of 28% between FY25 and FY28 to derive a justified forward Price-to-Contribution (P/C) multiple of 21.5x. FY28 has been selected as the reference year as Annual Transacting User (ATU) additions are expected to moderate beyond this period, marking the transition from rapid platform expansion to a more sustainable long-term growth trajectory. The derived 21.5x P/C multiple is then applied to the projected FY28 contribution per share, resulting in a target price of ₹198 per share.

The moderation in the valuation multiple from the current 40.62x FY25 P/C to 21.5x FY28 P/C reflects the expectation that the pace of contribution expansion will normalize over time. Historically, contribution has grown at approximately 49%, primarily driven by the rapid rollout of Valmo, which materially improved logistics efficiency and expanded contribution. Such structural benefits are unlikely to be replicated at the same pace going forward as Valmo penetration matures. Consequently, projected contribution growth moderates to 28%, with future growth expected to be driven predominantly by user expansion, gradual take-rate improvements and operating leverage, warranting a lower but more sustainable valuation multiple.

Risks

- **Competitive Intensity Risk:** Meesho currently enjoys a strong competitive position in India's value-commerce segment. However, increasing investments by established e-commerce players through platforms such as Flipkart Shopsy and Amazon Bazaar could intensify competition for value-conscious consumers and sellers. Superior pricing, wider product assortment or higher marketing spends by these platforms may moderate Annual Transacting User (ATU) additions, increase customer churn and slow marketplace growth.

- **Internet Adoption Risk:** The investment thesis assumes continued expansion in internet penetration across Tier III and Tier IV markets, supporting sustained user acquisition. Any delay in digital adoption, smartphone penetration or online shopping acceptance could defer ATU additions and transaction growth. Slower revenue growth, coupled with continuing inflation in logistics costs, may adversely affect operating leverage and delay the anticipated improvement in profitability.
- **Logistics Scaling Risk:** Valmo has rapidly expanded to account for more than half of Meesho's fulfilment volumes. However, as the platform scales across newer geographies, categories and sellers, greater dependence on third-party logistics providers, gateways and distribution centres may become unavoidable. A reversal in Valmo's delivery mix or higher reliance on external logistics partners could increase fulfilment costs, reduce contribution per order and weaken overall marketplace profitability.
- **Seller Retention Risk:** The investment thesis assumes a gradual increase in marketplace take rates from approximately 30% to 38% to offset declining Average Order Value (AOV) and rising logistics costs. However, higher seller charges may reduce the economic attractiveness of the platform, particularly for smaller retailers and low-volume merchants. Elevated seller attrition could moderate product additions, reduce assortment depth and ultimately weaken customer engagement and marketplace growth.
- **Technology Investment Risk:** Artificial Intelligence is expected to play an increasingly important role in customer acquisition, product discovery and operational efficiency. However, rapid technological advancements could necessitate incremental investments in cloud infrastructure, AI models and software platforms beyond current assumptions. If future AI adoption requires substantial fresh capital or renders portions of the existing technology stack obsolete, operating costs may rise materially, delaying EBITDA breakeven and reducing the expected operating leverage from platform scale.

About Meesho

Meesho operates a multi-sided technology platform that connects three key participants within the Indian e-commerce ecosystem—consumers, sellers, logistics and partners. The platform follows a pure-play marketplace model, wherein it facilitates product discovery, transactions, fulfilment and post-sales services without owning inventory. Its value proposition is centred on making online commerce affordable, accessible and engaging, particularly for value-conscious consumers across India.

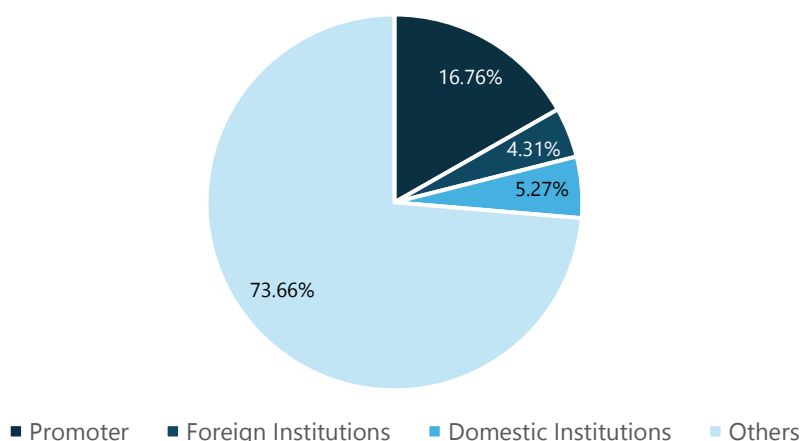
Consumers are offered a discovery-led shopping experience powered by AI and machine learning algorithms that personalise product recommendations and simplify product discovery. Sellers, ranging from unbranded manufacturers and regional businesses to national brands, leverage Meesho's technology platform to access a large customer base while benefiting from a zero-commission marketplace model and low-cost fulfilment infrastructure. This enables sellers to expand their digital presence with minimal upfront investment while maintaining competitive pricing.

Technology forms the backbone of Meesho's operations. Its modular platform architecture orchestrates interactions across all stakeholders while continuously capturing transaction and behavioural data. These data inputs feed proprietary AI/ML models that power personalised recommendations, automated catalogue management, logistics optimisation, transaction risk management and dynamic pricing of platform services, thereby improving efficiency across the marketplace.

Meesho primarily monetises the marketplace by offering value-added services to sellers, including order fulfilment, advertising solutions and data insights, while simultaneously expanding into adjacent businesses such as local logistics and financial services through ecosystem partnerships. This integrated platform approach strengthens stakeholder engagement, enhances network effects and positions Meesho as a scalable digital commerce ecosystem rather than merely an online retail marketplace.

Exhibit 37: Shareholding Pattern

Shareholding as of Dec 2025



Source: Meesho, Internal Research

Exhibit 38: Key Milestones

Period	Events
2015	Incorporated Meesho to enable small businesses through social commerce across India.
2016–2017	Pivoted from reseller platform to technology-led marketplace connecting buyers and sellers.
2018–2019	Expanded product categories, seller network and AI-driven discovery capabilities across India.
2020	Achieved 1 crore customers; accelerated digital commerce adoption during the pandemic.
2021	Raised US\$570 million funding; achieved Unicorn status; strengthened technology and logistics capabilities.
2022	Crossed 30 crore registered users; expanded deeper into Tier-II, Tier-III and rural markets.
2023	Achieved adjusted EBITDA profitability through operating leverage, logistics optimisation and monetisation initiatives.
2025	Successfully completed IPO; accelerating AI adoption, Valmo expansion and platform monetisation initiatives.

Source: Meesho, Internal Research

About Promoters

Vidit Aatrey is the Co-Founder, Chairman, Managing Director and Chief Executive Officer of Meesho. An IIT Delhi graduate in Electrical Engineering, Aatrey co-founded Meesho in 2015 after stints at ITC and InMobi, envisioning a platform to democratise online selling for small businesses and resellers across India. As a promoter selling shareholder in the IPO, he offered a portion of his shares for sale. Aatrey leads Meesho's strategy, growth and execution as it scales and expands its marketplace and logistics offerings.

Sanjeev Kumar Barnwal, is the Co-Founder and Chief Technology Officer of Meesho. An IIT Delhi alumnus, he previously worked at Sony in Japan before joining Aatrey to build Meesho from the ground up in 2015, focusing on the platform's technology, product infrastructure and scalable systems. As a promoter selling shareholder in the public offer, he offered part of his stake. Kumar's technical leadership has been central to crafting Meesho's mobile-first marketplace and logistics integration, enabling rapid growth across India's Tier-2 and Tier-3 cities.

Financial Summary

Exhibit 39: Profit and Loss Statement

INR Crs.	FY23(A)	FY24(A)	FY25(A)	FY26(E)	FY27(E)	FY28(E)	FY29(E)	FY30(E)
Marketplace Revenue	5,733	7,613	9,385	11,722	16,023	22,019	26,442	32,202
Logistics & Order fulfilment Costs	4,815	5,928	7,352	9,183	12,796	17,802	21,812	26,493
Contribution	918	1,685	2,033	2,539	3,226	4,217	4,630	5,709
Contribution %	16%	22%	22%	22%	20%	19%	18%	18%
Employee Costs	818	836	953	1,020	1,091	1,167	1,249	1,337
Sales promotion expenses	927	459	643	830	1,072	1,385	1,556	1,748
Communication expenses	223	208	226	303	404	539	618	709
Software tools expenses	567	577	619	662	709	758	811	868
Other expenses	186	102	175	187	200	214	229	245
EBITDA	-1,803	-497	-583	-464	-251	153	165	802
EBITDA %	-31%	-7%	-6%	-4%	-2%	1%	1%	2%
Depreciation	30	58	34	47	46	46	45	45
Finance Costs	1	6	7	7	7	7	7	7
Tax	-	-	2,486	-	-	-	-	-
Adjusted PAT	-1,834	-561	-3,110	-518	-304	100	112	749
Adjusted PAT %	-32%	-7%	-33%	-4%	-2%	0%	0%	2%

Exhibit 40: Balance Sheet

INR Crs.	FY23(A)	FY24(A)	FY25(A)	FY26(E)	FY27(E)	FY28(E)	FY29(E)	FY30(E)
Equity	2,471	2,229	1,445	5,177	4,873	4,878	4,884	4,921
Borrowings	12	72	57	57	57	57	57	57
Source of Funds	2,483	2,301	1,502	5,234	4,930	4,935	4,941	4,978
Fixed Assets	56	111	95	93	92	91	91	91
Current Assets	3,797	4,050	7,131	9,147	9,519	10,235	10,249	11,340
Bank & Liquid Investments	3,075	3,342	6,448	8,146	8,182	8,438	8,089	8,759
Other Assets	722	708	683	1,002	1,338	1,797	2,160	2,581
Current Liabilities	1,370	1,860	3,238	4,006	4,681	5,392	5,399	6,452
Trade Payables	1,274	1,557	2,266	2,504	2,675	2,696	2,160	2,581
Other Liabilities	96	303	972	1,502	2,006	2,696	3,240	3,871
Working Capital	2,427	2,190	3,893	5,141	4,838	4,844	4,850	4,888
Tax Liabilities on Reverse Flipping	-	-	2,486	-	-	-	-	-
Application of Funds	2,483	2,301	1,502	5,234	4,930	4,935	4,941	4,978

Exhibit 41: Cashflow Statement

INR Crs.	FY23(A)	FY24(A)	FY25(A)	FY26(E)	FY27(E)	FY28(E)	FY29(E)	FY30(E)
Operating Cashflows	-1,773	90	-2,073	-2,500	89	404	-190	1,434
PBT	-1,671	-328	-1,454	-518	-304	100	112	749
Workings Capital changes	-631	471	1,576	450	339	251	-355	632
Tax Paid	-10	-13	-36	-	-	-	-	-
Other Adjustments	539	-40	-2,159	-2,432	54	53	53	53
Cashflow from Investing	-37	-35	-23	-45	-45	-45	-45	-45
Fixed Assets	-37	-35	-23	-45	-45	-45	-45	-45
Cashflow from Financing	-11	-11	2,105	4,243	-7	-102	-114	-719
Shares issue	-	-	2,296	4,250	-	-	-	-
Borrowings	-11	-11	-19	-	-	-	-	-
Dividends	-	-	-	-	-	-95	-107	-712
Other Adjustments	-	-	-172	-7	-7	-7	-7	-7
Net Cashflow	-1,821	44	9	1,698	36	256	-349	670

Exhibit 42: Key Ratios

Particulars	FY23(A)	FY24(A)	FY25(A)	FY26(E)	FY27(E)	FY28(E)	FY29(E)	FY30(E)
Margins %								
Contribution	16%	22%	22%	22%	20%	19%	18%	18%
EBITDA	-31%	-7%	-6%	-4%	-2%	1%	1%	2%
PAT	-32%	-7%	-33%	-4%	-2%	0%	0%	2%
Growth (%)								
Revenue	N/A	33%	23%	25%	37%	37%	20%	22%
Contribution	N/A	84%	21%	25%	27%	31%	10%	23%
EBITDA	N/A	N/A	N/A	N/A	N/A	N/A	8%	385%
PAT	N/A	N/A	N/A	N/A	N/A	N/A	-6%	447%
Profitability (%)								
ROE	-74%	-25%	-215%	-10%	-6%	2%	2%	15%
ROCE	-74%	-24%	-41%	-10%	-6%	2%	2%	15%
Valuation (x)								
EV/ Revenue	13.97	10.53	8.54	6.84	5.00	3.64	3.03	2.49
EV/ EBITDA	N/A	N/A	N/A	N/A	N/A	523.51	484.82	99.97